THE PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
LONGIDO DISTRICT

FORM ONE TERMINAL EXAMINATION
062 BOOK KEEPING

Time: 2½ Hours **Thursday, 29th May 2025 p.m.**

Instructions

1. This paper consists of three sections A, B and C.
2. Answer **ALL** questions.
3. Calculators, cellular phones and any unauthorized materials are **NOT** allowed in the examination room.

QUESTION NUMBER	MARKS	INITIALS
1		
2		
3		
4		
5		
6		
7		
8		
9		
10		
TOTAL		

SECTION A (15 MARKS)

1.For each of the items (i) - (x) choose the correct answer from the given alternatives and write its letter beside the item number

i. Which of the following is not correct?
   A. Assets = Capital + Liabilities
   B. Capital = Assets – Liabilities
   C. Assets = Capital – Liabilities
   D. Liabilities = Assets – Capital

ii. It involves the transfer of goods or services from one person to another
   A. Business
   B. Bookkeeping
   C. Transaction
   D. Double entry

iii. It refers to a statement prepared at the end of financial year to determine the profit or loss of the business
   A. Income statement
   B. Statement of cashflow
   C. Statement of change in equity
   D. Statement of financial position

iv. Posting the transactions in the bookkeeping means
   A. Making the first entry of a double entry transaction
   B. Entering items in a cashbook
   C. Making the second entry of a double entry transaction
   D. Entering items in a journal

v. A list of balances, both debit and credit, extracted from the accounts in the ledger
   A. Cashbook
   B. Trial balance
   C. Statement of financial position
   D. Income statement

vi. Which of the following is not called purchases?
   A. Goods bought on credit
   B. Goods bought on cash
   C. Goods bought on cheque
   D. Motorvan bought on credit

vii. Is the excess of sales over cost of goods sold
   A. Net profit
   B. Gross profit
   C. Net loss
   D. Gross loss

viii. Is it true that the trial balance totals should agree?
   A. No, there are sometimes good reasons why they differ
   B. Yes, except where the trial balance is extracted at the year-end
   C. Yes, always
   D. No because it is not a statement of financial position

ix. Going concern concept tells us that, the life of the business is
   A. Very short
   B. Very long
   C. Normal
   D. medium

x. The principal that calls every debit to have equal credit in the books

A. Single entry system
B. Three entry system
C. Double entry system
D. Four entry system

2. Match the items of **LIST A** with the corresponding item in **LIST B** by wiring the letter of the correct item in the space provided

LIST A	LIST B
i. A book used to record credit sales of the business	A. General journal
ii. A book used to record goods returned by customers to the business	B. Purchases day book
iii. A book used to record cash transactions of the business	C. Sales returns day book
iv. A book used to record goods returned to suppliers by the business	D. Cashbook
v. A book used to record credit purchases of the business	E. Sales day book
	F. Purchases return day book
	G. Sales day book

SECTION B (40 MARKS)

3. Mr. Seypalm bought goods from Vunjabei shop at Kariakoo, after a few days, Mr. Seypalm returned goods to Vunjabei shop. Explain five reasons that caused Mr. Seypalm to return goods.

4. Classify the following accounts as **Real**, **Nominal** and **Personal**

ACCOUNT	CLASSIFICATION
Example: Machinery	Real Account
i) Wages and salaries Account	
ii) Capital Account	
iii) Furniture Account	
iv) Insurance Account	
v) Drawings Account	
vi) Buildings Account	
vii) Purchases Account	
viii) Malingumu Traders Account	
ix) Fixtures and Fittings Account	
x) Sales Account	

5. Write the double entry from the following transactions:

TRANSACTION	ACCOUNT TO BE DEBITED	ACCOUNT TO BE CREDITED
Example: Cash paid into Bank	Bank Account	Cash Account
i) Bought furniture by cash		
ii) Paid water bill by cheque		
iii) Cash received from Bambo		
iv) Cash paid to Kitalambo		
v) Started business by cash		

6. The information from financial statements is used by stakeholders to make the right decisions towards business. Explain five users of accounting information with their decisions.

SECTION C (45 MARKS)

7. The following are balances of Kibonge Mayele for the year ended 31st December 2022
   Sales……2,850,000/=
   Discount allowed……...200,000/=
   Opening stock……950,000/=
   Discount received……..350,000/=
   Purchases……1,150,000/=
   Wages and salaries…….300,000/=
   Closing stock…….200,000/=
   Return inwards……..100,000/=
   Rent and rates……150,000/=
   Returns outwards…….80,000/=
   Carriage inwards……....120,000/=
   Carriage outwards……..170,000/=
   Require: prepare Income statement for the year ended 31st December 2022

8. The following Omary's trial balance has certain errors. Redraft it

Trial Balance as at 31st March 2018

NAME OF ACCOUNT	DEBIT	CREDIT
Buildings	60,000	-----
Machinery	17,000	-----
Returns outwards	2,600	-----
Advertising	2,000	-----
Cash	400	-----
Discount received	3,000	-----
Bank overdraft	10,000	-----
Creditors	50,000	-----
Purchases	100,000	-----
Capital	-----	72,800
Fixtures	-----	5,600
Sales	-----	104,000
Debtors	-----	60,000
Interest received	-----	2,600
TOTAL	**245,000**	**245,000**

9. On 1st June 2020 Mr Mpulizo started the business with the following information
   June 1st: Bought from Azam Group Companies
   12 boxes of Azam juice @ Tshs.21,000
   3 cartons of Azam cola @ Tshs.12,000
   2 cartons of Azam Nazi@ Tshs.6,000

June 15th: Bought from Vichwa Rungu Traders
5 boxes of match box @ Tshs.2,000
8 Cartons of office glue Tshs.2,200
June 28th: Bought from Marumbuzi Entreprises
2 bundles of exercise book @ Tshs.7,500
5 bundles of counter book @ Tshs.20,000

Required: Prepare

a) Purchases journal
b) Ledgers